Market Monitor

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The **Market Monitor** is a product of the [Agricultural Market Information System (AMIS)](). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Ultimately, the report aims at improving market transparency and detecting emerging problems that might warrant the attention of policy makers.

Contents

World Supply-Demand Outlook

While prospects this season point to ample supplies, international prices averaged slightly higher for wheat and maize in October, with markets entering a correction phase after a steep decline registered over the previous months. Soybean prices appreciated only towards the end of the month as adverse weather affected US harvesting and Brazil plantings. Subdued import demand and abundant availabilities continued to drive down rice prices.

	From previous month f'cast	From previous season
Wheat	▬	▲
Maize	▬	▲
Rice	▬	▼
Soybeans	▼	▲

▲ *Easing* ▬ *Neutral* ▼ *Tightening*

million tonnes

WHEAT	USDA		IGC		FAO-AMIS		
	2013/14	2014/15	2013/14	2014/15	2013/14	2014/15	
	est.	f'cast 10-Oct	est.	f'cast 30-Oct	est.	f'cast 10-Oct	9-Nov
Production	715	721	713	718	717	719	723
Supply	890	907	882	903	875	895	898
Utilization	705	714	697	710	688	701	703
Trade	166	156	155	149	157	150	150
Ending Stocks	186	193	185	193	176	192	192

- **Wheat** production in 2014 to exceed last month's forecast on larger harvests in the EU and Ukraine.
- Utilization to expand by 2.2 percent in 2014/15, boosted by a strong increase in usage by the livestock sector, supported by ample supplies of feed wheat.
- Trade in 2014/15 to contract on lower expected purchases, mostly by China, Egypt, Mexico and Morocco.
- Stocks (ending in 2015) forecast to reach their highest level in twelve years, as bumper crops boost inventories in China, India and the Russian Federation.

MAIZE	USDA		IGC		FAO-AMIS		
	2013/14	2014/15	2013/14	2014/15	2013/14	2014/15	
	est	f'cast 10-Oct	est.	f'cast 30-Oct	est.	f'cast 10-Oct	9-Nov
Production	999	991	983	980	1011	1018	1015
Supply	1136	1164	1115	1156	1141	1194	1190
Utilization	953	973	939	961	945	970	968
Trade	129	114	120	113	124	114	114
Ending Stocks	173	191	176	194	175	211	210

- **Maize** production in 2014 to expand less than anticipated in October, following a reduction in China's forecast output.
- Utilization in 2014/15 to increase significantly from the previous season, despite a small downward adjustment, driven by revisions in China and the EU.
- Trade in 2014/15 to fall, mostly due to reduced imports by the EU.
- Stocks (ending in 2015) to increase sharply, on expectation of bumper crops, especially in the United States where maize inventories could rise by over 20 million tonnes.

RICE	USDA		IGC		FAO-AMIS		
	2013/14	2014/15	2013/14	2014/15	2013/14	2014/15	
	est.	f'cast 10-Oct	est.	f'cast 30-Oct	est.	f'cast 10-Oct	9-Nov
Production	477	475	476	476	498	496	496
Supply	587	586	585	585	674	678	678
Utilization	476	482	477	481	492	500	500
Trade	41	41	40	41	40	40	40
Ending Stocks	110	104	109	103	181	178	178

- **Rice** production forecast little changed from last month, as a downward adjustment mainly for Myanmar offsets improved prospects in the United States and Viet Nam.
- Utilization to expand by 1.7 percent, primarily on account of rising food use in Asia.
- Trade in calendar 2015 to exceed the 2014 record by 1 percent, sustained by higher import requirements in Africa and firm demand in Asia.
- Stocks (ending in 2015) predicted to fall by 2 percent, reflecting draw-downs in the major rice exporting countries, especially India and Thailand.

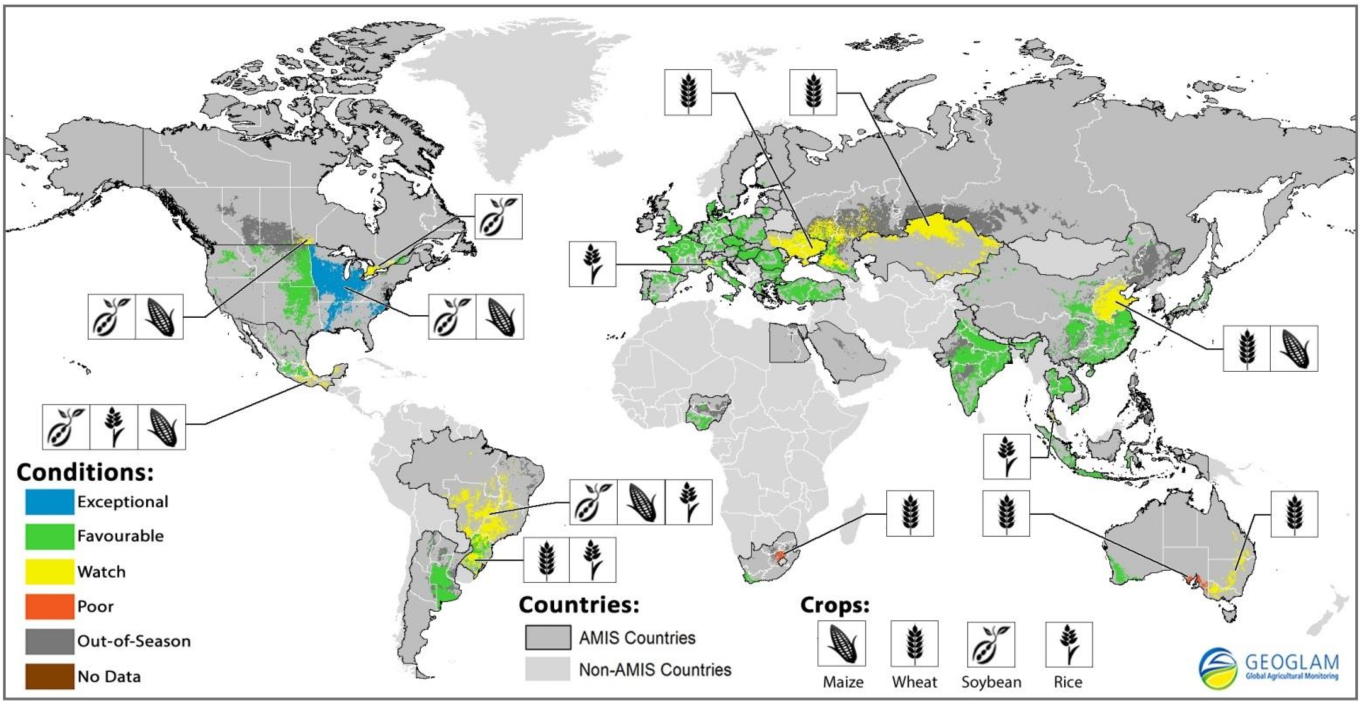
SOYBEANS	USDA		IGC		FAO-AMIS		
	2013/14	2014/15	2013/14	2014/15	2013/14	2014/15	
		f'cast 10-Oct	est.	f'cast 30-Oct	est.	f'cast 9-Oct	6-Nov
Production	285	311	284	307	284	309	308
Supply	342	378	311	339	312	339	338
Utilization	271	284	283	297	281	298	296
Trade	113	115	111	115	114	118	117
Ending Stocks	66	91	29	40	30	41	40

- **Soybean** production forecast lowered slightly on downward revisions for Brazil and Argentina, reflecting, respectively, unfavourable weather and lower than anticipated plantings.
- Utilization in 2014/15 to expand less than previously foreseen, with year-on-year growth now estimated at 5.3 percent.
- Trade in 2014/15 lowered marginally, with reduced export forecasts for Argentina and Paraguay and reduced import forecasts for China and other buyers in Asia.
- Stock forecast (2014/15 carry-out) trimmed somewhat, still indicating a year-on-year surge.

All totals (world estimates and forecasts) shown are computed from unrounded data. All changes, in absolute or percentage terms, are also calculated based on unrounded figures and accordingly reported in the supply/demand commentaries. Analysis presented in this report is largely based on information as of late October 2014. **Explanatory notes** and list of **sources** are available at the end of the report.

Crop Monitor*

Crop Conditions in AMIS countries (as of October 28th)



Crop condition map synthesizing information for all four AMIS crops as of October 28th. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. ***Crops that are in other than favourable conditions are displayed on the map with their crop symbol.***

Highlights

Wheat conditions in the northern hemisphere remain favourable. In US, India, China and EU, planting has begun and conditions are generally favourable. In Canada, planting has begun and conditions are mixed due to excess moisture. In Kazakhstan, spring wheat harvest is still underway but is hampered by snow. In Russia and Ukraine, planting is complete and unusually cold weather in some regions has caused the crop to go into dormancy earlier than usual. In the southern hemisphere, conditions remain generally favourable. In Argentina, conditions are favourable. In Brazil, conditions are mixed. In Australia, conditions remain mixed and yields are expected to be reduced. In South Africa, harvest has begun and conditions remain mostly favourable in the winter rainfall region. In the summer rainfall region, below normal rainfall has resulted in reduced planted area and reduced dryland yields.

Maize conditions in the northern hemisphere remain overall favourable. In the US and EU, harvest has begun and conditions are very good in the US and good in the EU. In Russia and Ukraine, harvest has begun. In Mexico, India, and Nigeria, conditions remain favourable. In China, harvest is mostly complete except in the central region and conditions remain mixed due to earlier dry conditions. In Canada, conditions remain mixed and harvest is slightly delayed. In the southern hemisphere, conditions are generally favourable. In Argentina, planting has begun. In Brazil, planting has begun but is delayed slightly due to below average rainfall.

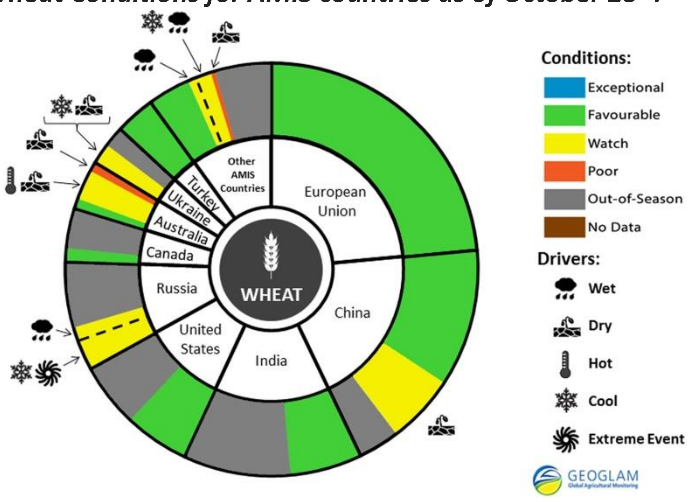
Rice overall conditions are generally favourable. In the US, Nigeria and India, conditions are good and harvest is progressing. In Indonesia, Japan, China, and Viet Nam, conditions are favourable. In Thailand, harvest has begun in the north and central regions and conditions are generally favourable. There are some concerns over dryness in the south. In the EU, rice is progressing as normal except for Italy, where the crop suffered due to a wetter and colder than usual summer. In Brazil, planting has been delayed due to excess rainfall in parts of the southern regions.

Soybeans overall conditions in the northern hemisphere are good due to a very good US crop. The soybean harvest is well underway in the US. Conditions are exceptional and a record yield is expected due to favourable weather over the growing season. In Canada, conditions are mixed due to excess moisture. In India and Nigeria, conditions are favourable. In the southern hemisphere, conditions are mixed. In Brazil, planting has begun but is delayed due to below average rainfall. In Argentina, fields are being prepared for planting.

El Niño situation update

The El Niño event that has been anticipated since April has still not materialized. Although sea surface temperatures in the Pacific are warmer than average, they do not meet the criteria for El Niño, and the corresponding atmospheric features are yet to appear. Model projections cited in mid and late October by the Australian Bureau of Meteorology, the International Research Institute for Climate and Society, and the U.S. National Oceanic and Atmospheric Administration put the probability of an El Niño event above 50 percent during the 2014-2015 southern hemisphere growing season. However, it is not expected to be a strong event. Potential impacts of El Niño should be considered: below-normal rainfall in parts of Asia, Southern Africa, and Australia, affecting rice, maize, and wheat; and above-average rainfall in major regions of South America, benefiting maize, soy and wheat.

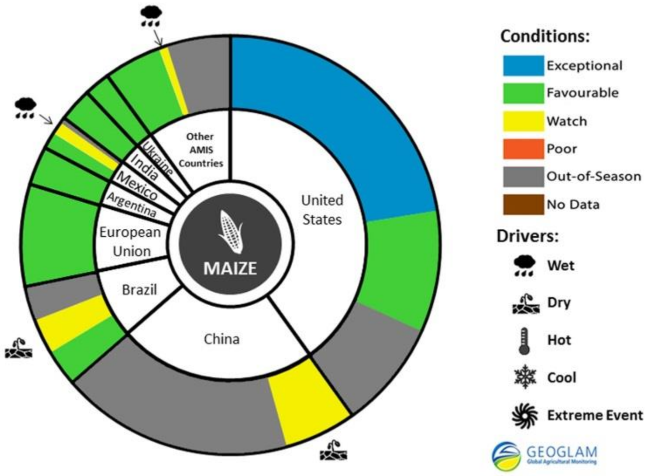
Wheat Conditions for AMIS countries as of October 28th.



For detailed description of the pie chart please see box on page 4.

Wheat conditions in the northern hemisphere remain favourable. In **Russia**, winter wheat planting is complete. Freezing temperatures in some areas of the Central, South and Volga regions have made the crop enter the dormancy stage early, thereby shortening the vegetative stage. In **Ukraine**, winter wheat conditions are mixed. Due to unusually cold weather, the crop has gone into dormancy early in some regions. In **Kazakhstan**, the spring wheat harvest is still underway but nearing completion. Some fields are currently under snow, which could limit harvest and potentially impact yields. In the **EU**, winter wheat planting has begun and conditions are favourable. In the **US**, planting of winter wheat is nearing completion and emergence is on pace with past years. In **Canada**, spring wheat harvest is complete and yields are slightly lower than the five year average. Winter wheat planting has begun and conditions are mixed due to excess moisture delaying field operations. In **China**, planting has begun and conditions are generally favourable. There are some concerns over poor soil moisture, which may hamper wheat emergence. In **India**, planting has begun. In the southern hemisphere, conditions are mostly favourable. In **Argentina**, harvest has begun in the northern growing regions and conditions are good. In **Brazil**, conditions are mixed. In southern growing regions, above-average rainfall has caused a loss of grain quality. The crops are mostly in reproductive to harvest stages. In **Australia**, conditions remain mixed and overall yield prospects are reduced. Warm temperatures and below-normal precipitation exacerbated crop deterioration particularly in southern growing regions where soil moisture deficits persisted since August. In contrast, September rainfall across Western Australia benefited late planted crops. Harvest will begin early November and continue through December. In **South Africa,** harvest has begun and conditions remain favourable over the winter rainfall region (main area) owing to normal to above-normal rainfall in winter, and yields are expected to be above average. Over the summer rainfall region, below-normal rain since April resulted in reduced planted area and reduced dryland yields.

Maize Conditions for AMIS countries as of October 28th.

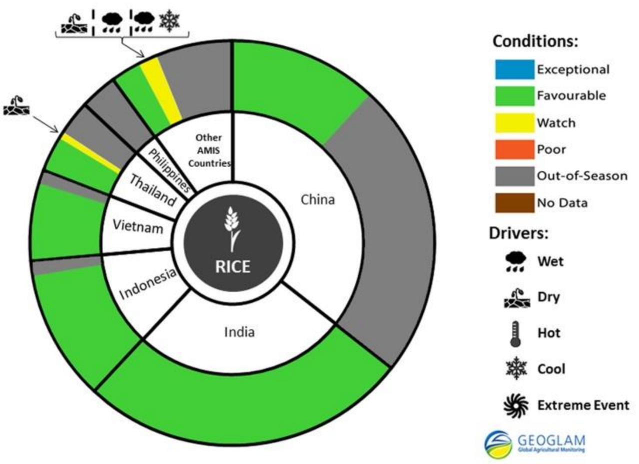


For detailed description of the pie chart please see box on page 4.

Maize conditions in the northern hemisphere remain overall favourable. In the **US**, the maize harvest is underway. Yields are expected to be well above average leading to what will likely be the largest production on record. In the **EU**, crops are in good condition and harvest has begun. Yields are expected to be above the five year average. In **Russia,** harvest is underway and advancing without delay. Yields are slightly down from last year. In **Ukraine**, harvest is progressing and conditions are favourable. In **China**, conditions remain mixed with concern across North China Plain and Northeast growing regions due to earlier dry conditions. Maize harvest is mostly complete except in the central region. In **Mexico**, conditions remain generally favourable for the spring-planted crop with the exception of a few areas in the south that had excess moisture. In **Canada**, conditions remain mixed due to excess moisture and harvest is underway though slightly delayed. In **India**, conditions are mostly favourable. In **Nigeria,** conditions are favourable. In the southern hemisphere conditions are generally favourable. In **Brazil**, planting has begun but is delayed in some regions due to below-average rainfall and insufficient soil moisture. In **Argentina**, planting continues and conditions remain favourable.

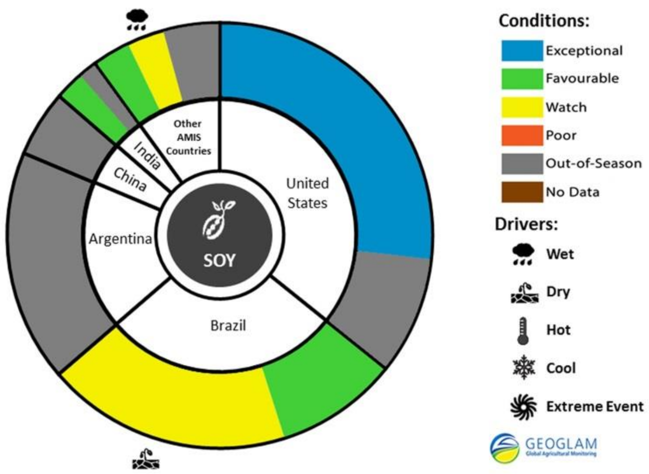
Rice conditions are generally favourable. In **India**, conditions are good and harvest has begun. In **Indonesia**, the dry season crop conditions remain good due to favourable weather. In **Viet Nam**, overall conditions are favourable and the rice growth stages range from transplanting to harvest. In **Thailand**, harvest of the wet season crop has begun in the north and central regions and the crop is generally in favourable conditions. There are some concerns in the southern region due to dryness. In **Japan**, conditions are favourable. In **China**, conditions remain generally favourable. Single cropped rice is mostly harvested in major producing regions. Late season rice ranges from heading to maturity stages. In the **EU**, the rice crop is still progressing as normal with the exception of Italy, where the crop was hampered by infections due to the wetter and colder than usual summer. In the **US**, rice harvest is nearly complete and conditions are favourable. In **Nigeria**, harvest has begun and conditions are favourable. In **Brazil**, planting has been delayed due to excess rainfall in the main southern planting region. However, it is too early to measure the impact on production.

Rice Conditions for AMIS countries as of October 28th.



For detailed description of the pie chart please see box below.

Soy Conditions for AMIS countries as of October 28th.



For detailed description of the pie chart please see box below.

Soybeans prospects in the northern hemisphere remain overall very good primarily owing to the US crop. In the **US**, the soybean harvest is well underway. Conditions are exceptional and a record yield is expected due to favourable weather over the growing season. In **Canada**, harvest has begun and conditions remain mixed due to excess moisture. In **China**, harvest is mostly complete except in the central region. In **India**, conditions are favourable. In **Nigeria,** conditions are favourable owing to good moisture conditions. In addition, planted area has increased. In the southern hemisphere conditions are mixed. In **Brazil**, planting has begun and conditions are mixed. There is a delay in planting due to below average rainfall mainly in the centre-west and southeast regions. In **Argentina**, field preparations for planting the next crop have begun.

Pie chart description: Each slice represents a country's share of total AMIS production (5-year average). Main producing countries (representing 90 percent of production) are shown individually, with the remaining 10 percent grouped into the “Other AMIS Countries” category. The area within each slice is divided between crops in-season (colour) and out-of-season (gray). The in-season portion is coloured according to the various crop conditions within that country. When conditions are labelled as 'poor' or 'watch', icons are added that provide information on the key climatic drivers affecting conditions. The coloured areas reflect conditions by area rather than overall national production.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRRI), Japan (JAXA), Mexico (SIAP), Russia (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multi-agency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. Map data sources: Major crop type areas based on the IFPRI/IIASA SPAM 2005 beta release (2013), USDA/NASS 2013 CDL, 2013 AAFC Annual Crop Inventory Map, GLAM/UMD, GLAD/UMD, Australian Land Use and Management Classification (Version 7), SIAP, ARC, and JRC. Crop calendars based on GEOGLAM partner crop calendars and USDA crop calendars.
More detailed information on the GEOGLAM crop assessments is available www.geoglam-crop-monitor.org.
For more information regarding on the new crop monitor and pie charts: http://www.geoglam-crop-monitor.org/content/about-geoglam-crop-monitor.

Policy Developments

WHEAT

- **Argentina** authorized the export of 400,000 tonnes of wheat and 100,000 tonnes of wheat flour from the 2013/14 harvest.
- In **China,** the National Development and Reform Commission (NDRC) announced that the 2015 state purchase price for wheat would be maintained at the 2014 level, set at CNY 2,360 (USD 385 per tonne).
- **India** raised its domestic procurement price for wheat by 3.6 percent to 1045 rupees per 100kg (USD 236 per tonne).
- The Ministry of Agriculture of the **Russian Federation** held consecutive intervention tenders on grains, including wheat.

MAIZE

- **Argentina** authorized the export of 500,000 tonnes of maize from the 2013/14 harvest.

RICE

- In **Brazil**, part of the government stocks from previous harvest was sold for renewal.
- The ban on **Egypt**'s rice exports has been lifted until August 2015. Further to an export tariff of USD 280 per tonne, for every tonne of exported rice exporters would sell one tonne of rice to the Ministry of Supply and Internal Trade at EGP 2,000 (USD 280).
- The government of **Thailand** continued to auction rice from government stocks. Several producer support measures were announced. A one-off and capped per-area payment of BHT 1,000 per rai (equivalent to USD 193 per hectare) will be paid with an overall budget of BHT 40 billion (USD 1.2 billion). The payments that were started on 20 October 2014 are capped to BHT 15,000 (USD 475) per farmer. Concessional and interest-free short-term loans are also available from November 1st to encourage rice farmers to delay sales during the 2014/15 harvest season.

International Prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Oct- 2014 Average*	% Change M/M	Y/Y
GOI	220	- 2.0%	- 14.2%
Wheat	221	+ 0.9%	- 9.6%
Maize	184	+ 2.6%	- 14.0%
Rice	178	- 3.0 %	- 0.7%
Soybeans	213	- 4.9%	- 20.1%

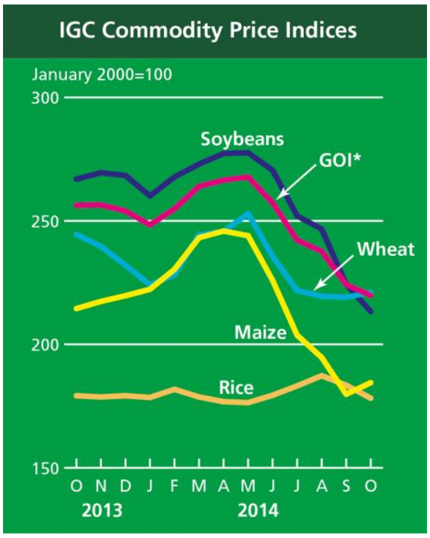
*Jan 2000=100, derived from daily export quotations

Wheat: Although prices stayed close to four-year lows, the global wheat market had a firmer tone during October. There was often limited wheat-specific news, but prices responded to strength in other commodities, especially maize. Tight world availabilities of premium milling grades continued to underpin values. Falling production prospects in Australia were a mild concern. Autumn planting for the world 2015/16 harvest made mostly good progress, but less than ideal conditions in some regions, particularly in Soft Red Winter areas of the US, as well as in Russia and Ukraine, provided modest price support.

Maize: Concerns about harvest delays in the US contributed to solid gains in maize prices. Nevertheless, with a huge global crop still expected, quotations remained near their lowest levels in four seasons. While delayed, early results from the US harvest pointed to very high yields, further boosting the official forecast for production. Planting made good progress in Argentina, but high costs relative to other crops, particularly soybeans, could reduce the area sown. Fieldwork in Brazil was hampered by dry weather in some parts, adding to speculation about a fall in plantings.

Rice: World rice markets were weaker, led by declines in Thailand and South Asia. Although this year's robust pace of shipments provided mild support, values in Thailand were weighed by limited fresh buying interest and concerns about the impact of Ebola on demand from African importers. Large intervention reserves added pressure. Prices in India dropped on sluggish export interest and currency movements, but offers in Viet Nam were underpinned by recent sales to Asian buyers and cross border trade with China.

Soybeans: World soybean export prices were weaker during October. While weather-related concerns in key producers and solid buying interest provided some support during the first half of the month, prospects for record crops and export availabilities continued to weigh on market sentiment. More recently, fresh export demand underpinned prices, but overall gains were limited by improving conditions in the US and Brazil.



IGC commodity price indices

		GOI*	Wheat	Maize	Rice	Soybeans
		(................. January 2000 = 100 ....)				
2013	October	**256.3**	244.5	214.5	179.2	266.9
	November	**256.5**	239.7	217.4	178.7	269.5
	December	**254.0**	232.1	219.7	179.2	268.4
2014	January	**248.4**	224.1	222.3	178.5	260.1
	February	**254.9**	228.2	230.4	181.8	267.8
	March	**264.0**	244.3	243.2	178.7	273.0
	April	**266.5**	245.7	245.9	176.8	277.3
	May	**267.8**	253.0	244.0	176.4	277.6
	June	**257.3**	235.7	225.9	179.4	270.5
	July	**242.2**	221.8	203.7	183.2	252.0
	August	**237.7**	219.5	194.7	187.3	246.7
	September	**224.2**	219.1	179.8	183.5	224.3
	October	**219.8**	221.0	184.5	178.2	213.3

*GOI: Grains and Oilseeds Index

Futures Markets

Futures Prices

	Oct 2014 Average	% Change M/M	% Change Y/Y
Wheat	186	1.2%	-26.5%
Maize	137	4.1%	-20.5%
Rice	277	0.3%	-17.3%
Soybeans	354	-4.0%	-25.1%

Source: CME

Historical Volatility – 30 Days

	Monthly Averages Oct 2014	Monthly Averages Sep 2014	Monthly Averages Oct 2013
Wheat (Nearby)	23.6%	25.7%	17.3%
Maize (May)	27.3%	24.4%	24.5%
Rice (Nearby)	13.5%	15.2%	21.6%
Soybeans (Nearby)	36.7%	45.7%	32.4%

Futures Prices

Prices for wheat, maize and soybeans rebounded from late September lows although soybean prices on average remained lower m/m by 4 percent. The directional change in price, following a downward trend since May, indicated a shift in focus from US production levels to demand quotients as well as weather in South America – where maize and soybean plantings were in the early stages. Strong soybean meal prices were cited as underpinning the grain/oilseed complex, caused by near record US meat prices. Robust soybean exports since the start of the new marketing season in October were also supportive of soybean prices. Wheat prices rose in sympathy with maize and soybeans and on concerns of abnormally cold weather in the Black Sea region. Rice prices were mostly stable.

Volumes and Volatility

Volumes were mixed, rising slightly m/m for wheat and maize and reaching a near record level for soybeans. Implied volatility rose for maize and soybeans while declining in wheat m/m. Overall implied volatility levels were higher than last year's subdued levels, but still within a normal range – approximately mid-twenties.

Forward curves

Forward curves persisted in mostly upward sloping configurations, showing little change m/m and indicating sufficient supplies for the rest of the crop year.

Basis levels

Interior basis levels remained at depressed levels for wheat and maize and to a lesser extent – soybeans. Compounded by the transport demands arising from the US shale boom, truck, rail and barge shortages were reported nationwide –and freight rates persisted at levels up to 50 percent higher than the five year average for the October/November time frame. The approximate USD 45 per tonne for barge freight from the Illinois barge loading stations to New Orleans Gulf resulted in lower prices to producers, especially those lacking adequate storage for the US record maize and soybean crops. Regarding the low wheat basis, US export demand remained sluggish, with USDA reporting the lowest level of wheat shipments for the third quarter in five years.

Investment flows

Managed money reduced its net short position in wheat while adding to its net long position in maize. Underscoring the variability of "market sentiment", some analysts cited the possible switch of fund money into the agricultural sector out of the energy markets – which have recently undergone price declines, accompanied by low volatility. In the soybean market, managed money reduced its net long futures position slightly. In a divergence from past market patterns, small traders (other reportables and non-reportables- not shown on the graphs here) have established opposite short positions to both managed money and commercials. In taking account of options positions, however, managed money remained in an overall short position in opposition to commercials.

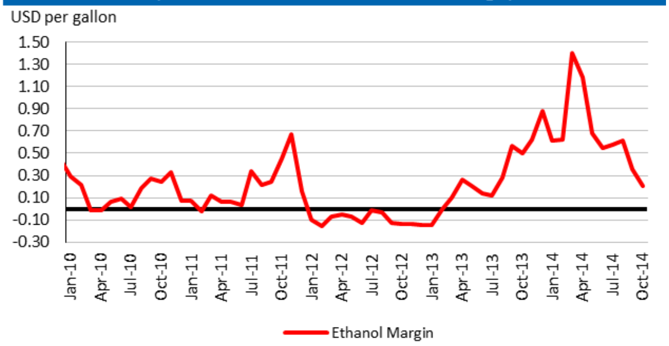
For more information on technical terms please view the Glossary at the following link:
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Monthly US Ethanol Update

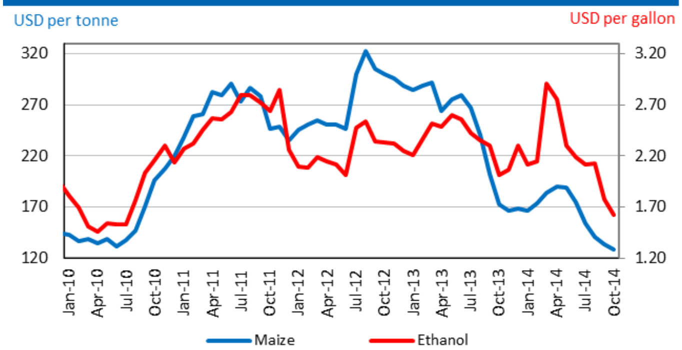
- Ethanol production margins narrowed further in October, but were showing improvement as the month progressed.
- Falling maize prices have helped reduce ethanol producers' costs as the US harvest got underway. However, while maize prices have been falling, ethanol prices have fallen faster, reducing ethanol producer margins.
- DDGS prices fell relative to maize prices, adding to the decline in ethanol production margins.
- Maize prices had been falling steadily heading into October, but have strengthened modestly through October as the US harvest, while progressing, was experiencing some delay.
- RBOB gasoline prices dropped along with petroleum prices, putting further downward pressure on ethanol prices.
- Ethanol production slowed as margins have declined.
- The EPA has yet to release final mandate levels for 2014, with only two months remaining in the year, and the November 2015 deadline for the release of the preliminary rule for 2015 approaching.

Spot prices IA, NE and IL/eastern *corn belt* average	**October 2014**	**September 2014**	**October 2013**
Maize price (USD per tonne)	128.78	133.56	172.29
DDGs (USD per tonne)	104.75	116.88	205.74
Ethanol price (USD per gallon)	1.62	1.78	2.01
Nearby Futures Prices CME, NYSE			
Ethanol (USD per gallon)	1.68	1.77	1.83
RBOB Gasoline (USD per gallon)	2.26	2.60	2.59
Ethanol/RBOB price ratio	74.2%	68.0%	70.5%
Ethanol Margins IA, NE and IL/eastern *corn belt* average, USD per gallon)			
Ethanol receipts	1.62	1.78	2.01
DDGS receipts	0.32	0.36	0.64
Maize costs	1.19	1.23	1.59
Other costs	0.55	0.55	0.55
Production margin	0.21	0.36	0.50
Ethanol Production (million gallons)			
Monthly production total	1,174	1,153	1,176
Annualized production pace	13,829	14,023	13,844

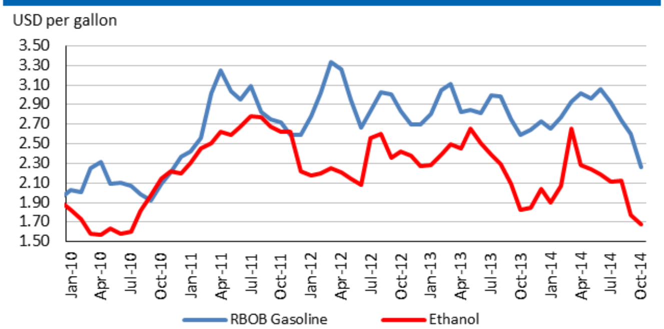
Ethanol production margin
(IA, NE, IL/eastern corn belt average)



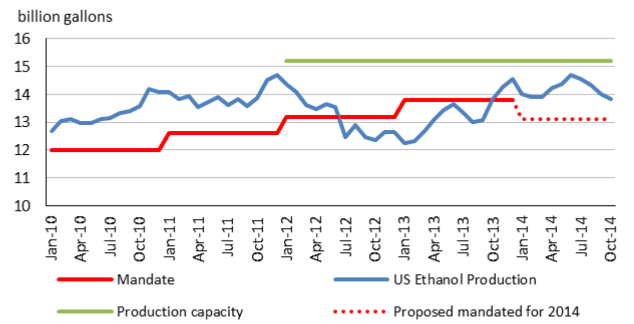
Ethanol price vs. maize price
(Spot prices)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Based on USDA data and private sources.

Chart and tables description:

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

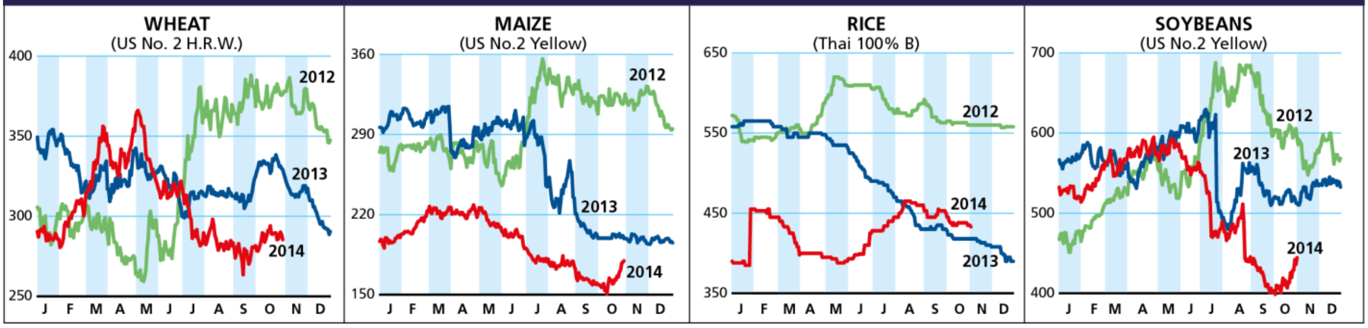
DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Supplementary tables and charts

Selected Export Prices and Price Indices

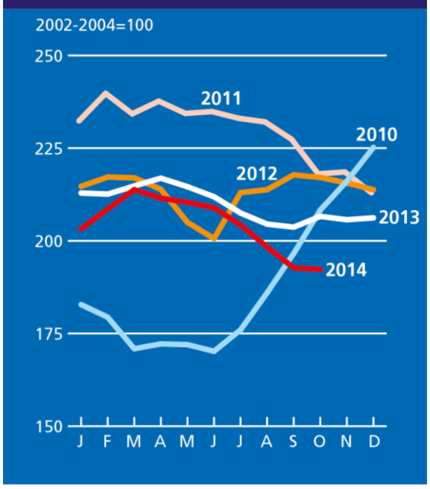
Daily quotations of selected export prices (USD/tonne, 2012-2014)



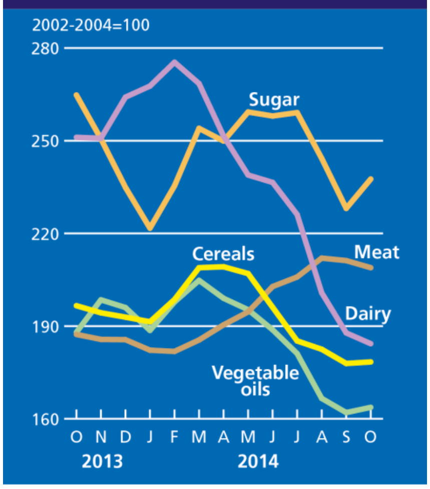
Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
	(. . . .	. USD/tonne . . .	. . . .)				
Wheat (US No. 2, HRW)	03-Nov	287	286	282	324	0.4%	-11.5%
Maize (US No. 2, Yellow)	03-Nov	180	170	156	199	5.8%	-9.7%
Rice (Thai 100% B)	31-Oct	433	438	450	418	-1.1%	3.6%
Soybeans (US No.2, Yellow)	03-Nov	438	428	399	512	2.2%	-14.5%

FAO Food Price Index



FAO Food Commodity Price Indices



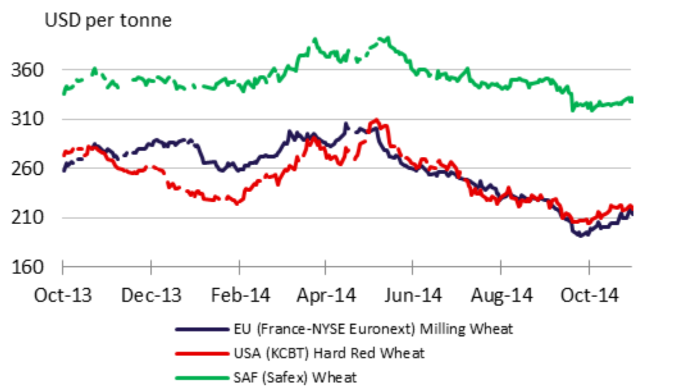
FAO food price indices

		Food Price Index	Meat	Dairy	Cereals	Oils and Fats	Sugar
		(.	. . . . 2002-2004 = 100	. . . .	. . . .	. . . .	. . . . . .)
2013	October	**206.6**	187.3	251.1	196.6	188.0	264.8
	November	**205.7**	185.7	250.8	194.3	198.5	250.6
	December	**206.2**	185.6	264.1	192.9	196.0	234.9
2014	January	**203.2**	182.2	267.7	191.4	188.6	221.7
	February	**208.6**	181.8	275.4	198.6	197.8	235.4
	March	**213.8**	185.5	268.5	208.9	204.8	254.0
	April	**211.5**	190.4	251.5	209.2	199.0	249.9
	May	**210.4**	194.6	238.9	207.0	195.3	259.3
	June	**208.9**	202.8	236.5	196.1	188.8	258.0
	July	**204.3**	205.9	226.1	185.2	181.1	259.1
	August	**198.3**	212.0	200.8	182.5	166.6	244.3
	September	**192.7**	211.2	187.8	177.9	162.0	228.1
	October	**192.3**	208.9	184.3	178.4	163.7	237.6

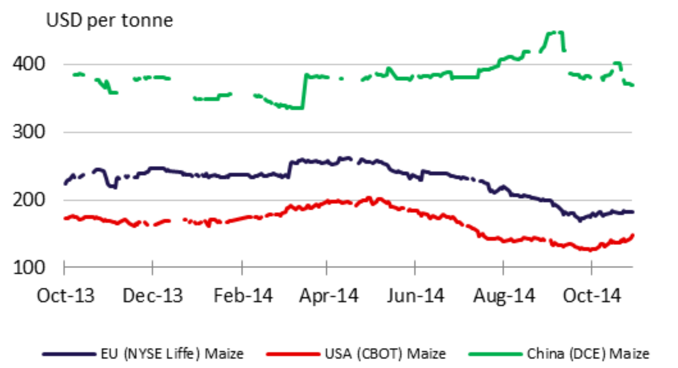
Market Indicators

Daily Quotations from Leading Exchanges - nearby futures

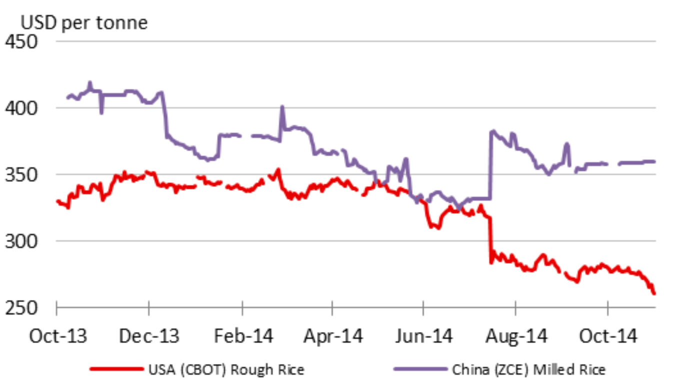
Wheat



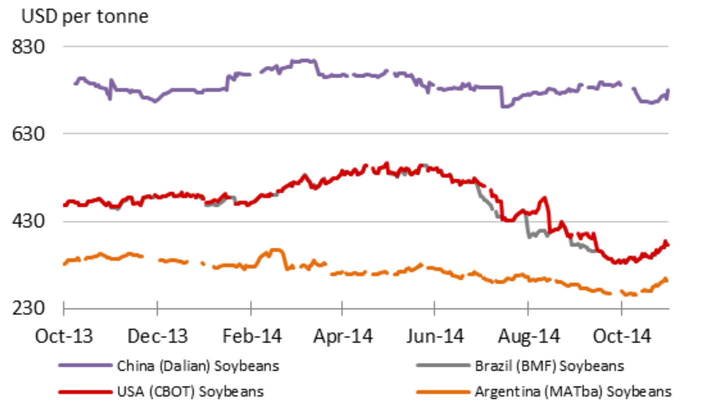
Maize



Rice

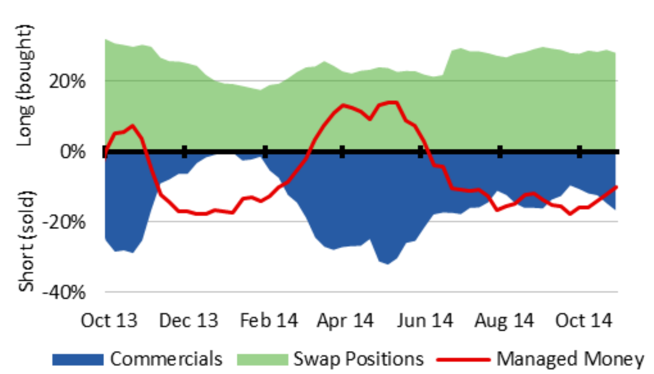


Soybeans

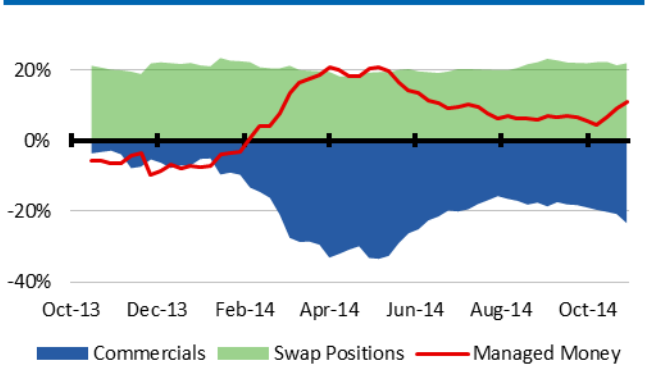


CFTC Commitment of Traders - Major Categories Net Length as % of Open Interest**

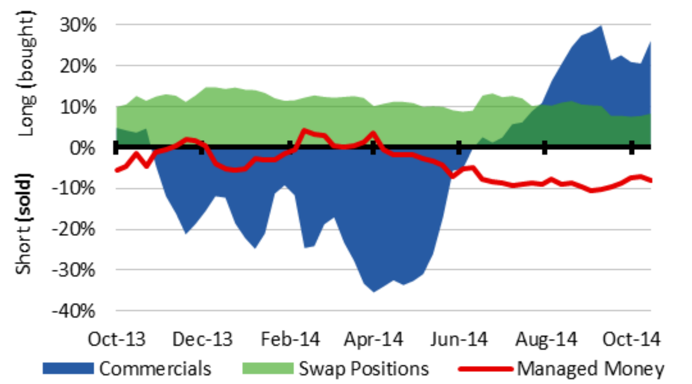
Wheat



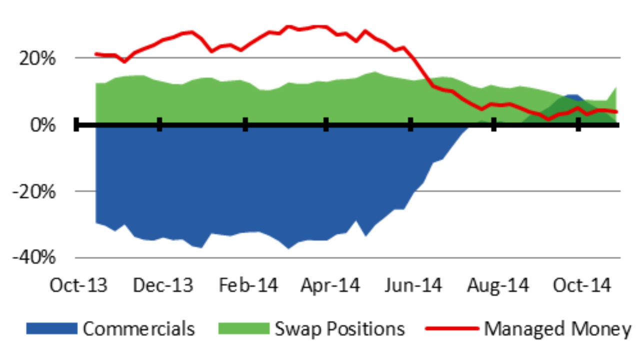
Maize



Rough Rice



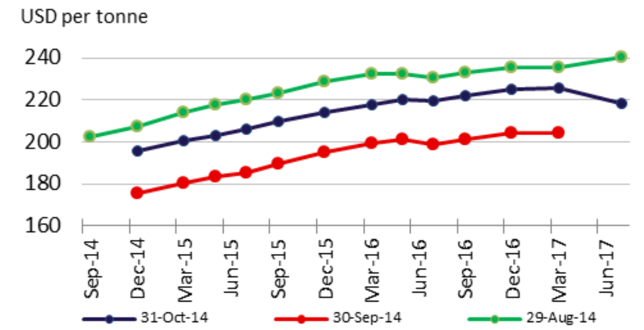
Soybeans



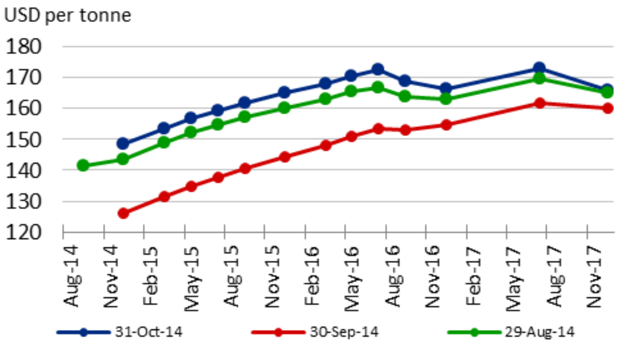
** Disaggregated Futures Only

Forward Curves

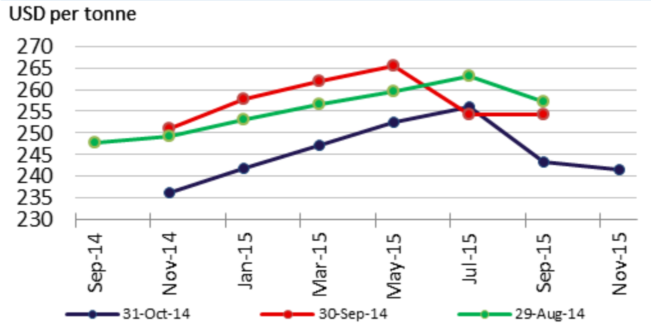
Wheat



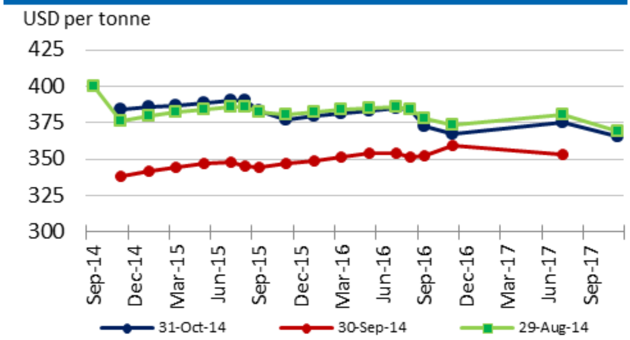
Maize



Rough Rice

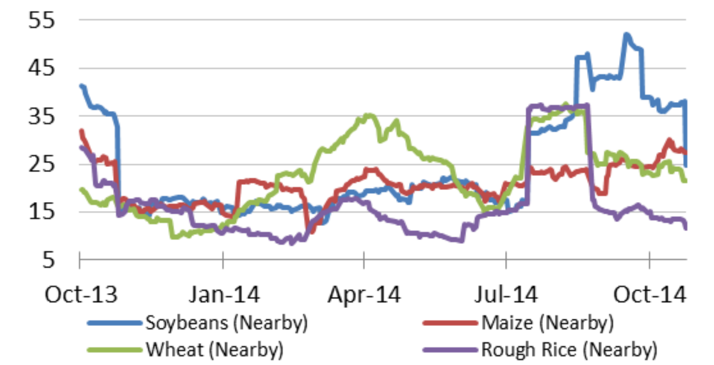


Soybeans

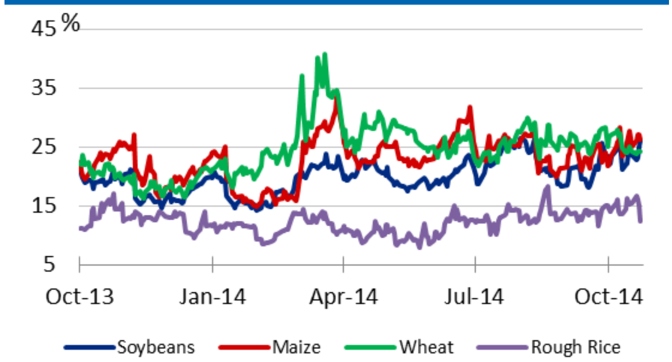


Historical and Implied Volatilities

Historical Volatility (30D)



Implied Volatility (Daily)



Maize use for Ethanol in the US

Maize Use for Ethanol (excluding non-fuel) in the United States

	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12	2012/13	2013/14* estim.	2014/15* (f'cast)
					thousand tonnes					
Maize Production	282,263	267,503	331,177	307,142	332,550	316,166	313,956	273,823	353,709	367,679
Ethanol Use	40,726	53,837	77,453	93,396	116,616	127,538	127,005	117,886	130,307	130,180
Yearly ethanol use change(%)	21%	32%	44%	21%	25%	9.4%	-0.4%	-7.2%	10.5%	-0.1%
As Production (%)	14%	20%	23%	30%	35%	40.3%	40.5%	43.1%	36.8%	35.4%

Source: WASDE-USDA. * 10 October 2014

AMIS Market Indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:
http://www.amis-outlook.org/amis-monitoring/indicators/

Explanatory Notes and Calendar

The notions of **tightening** and **easing** used in the summary table of "**World Supply and Demand**" reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by USDA, IGC and FAO. They may vary for many reasons, but mainly because of different methodologies and release dates.

FAO-AMIS: World estimates and forecasts are based on information received from AMIS countries as well as FAO data.

Dates: Refer to the release date of the data from the selected sources: FAO, IGC, and USDA.

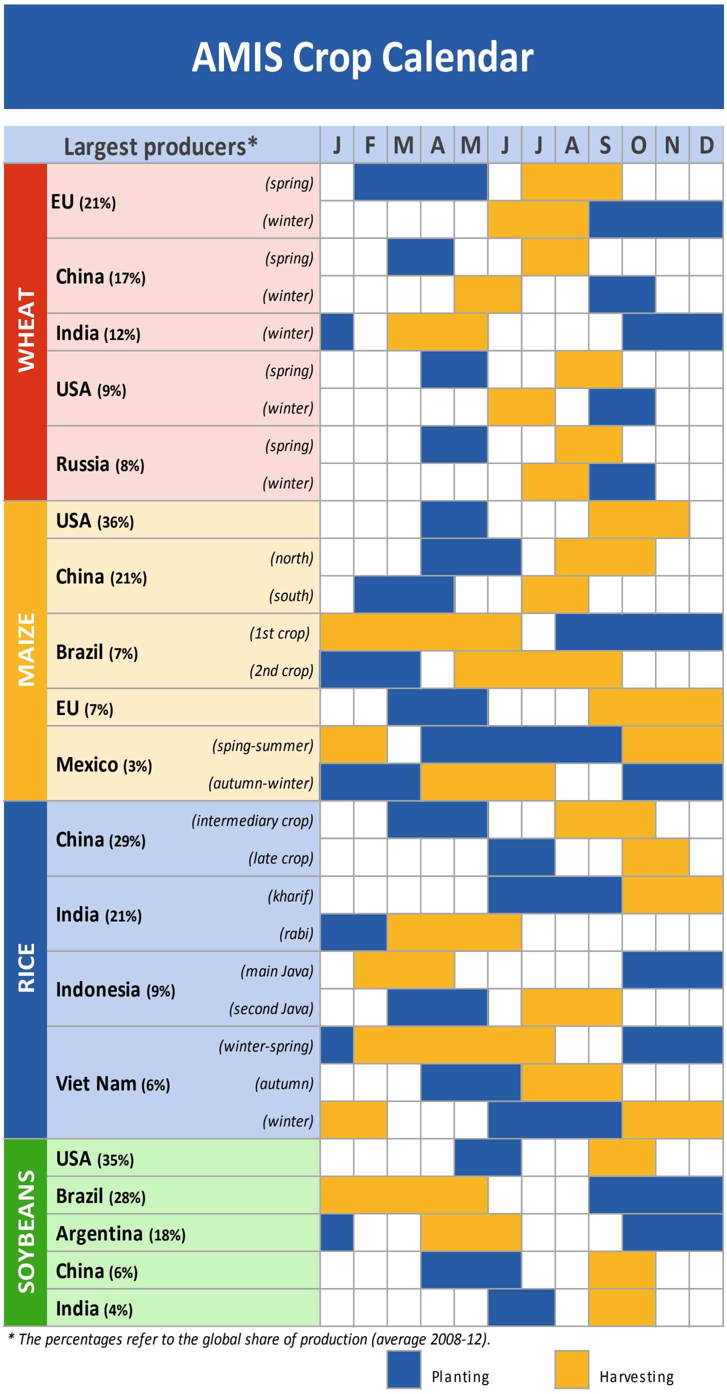
Production: Cereal production data refer to the calendar year of the first year shown. Rice production is expressed in milled terms. Soybeans production data refer to the split (i.e. 2013/14) season.

Supply: Defined as production plus opening stocks.

Utilization: For wheat, maize and rice utilization includes food, feed and other uses ("other uses" comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown and for soybeans from October to September. Trade between European Union member states is excluded.

Ending Stocks: Data is calculated as the aggregate of carry-overs at the close of national crop seasons ending in the year shown.



Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank

2014 Release Dates

06 February, 06 March, 03 April, 08 May, 05 June, 03 July, 11 September, 09 October, 06 November, **04 December**

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